



Updating the Methodology of Measuring the Local Content Score Measurement

2025

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For the Fiscal Year ending on December 31, 2024, and after.

The Authority has worked on updating some procedures related to the Local Content measurement to issue the Local Content Certificate at the entity level and to issue the periodic or final report either at the entity or contract level.

These updates will be applied to the Local Content Certificates for the fiscal years ending on December 31, 2024, and after.

The key updates include:

1. Updating local content percentages for the following elements:

Key Updates	Before the Update	After the Update
Increased the Local Content Score for the foreign employees' compensations	37%	53.4%
Increased the Local Content Score in the depreciation and amortization of the foreign assets	20%	30%

2. In the Goods and Services section, List at least 70% or top 40 suppliers of the total expenses on Goods and Services. If the remaining expenses equals to or more than SAR 500 million, the entity must list the top 80 suppliers or until the remaining expenses is less than SAR 500 million.
3. Disclosure of the capital expenditures that are exceeding SAR 500 million.



4. Updating the Local Content Sector in certain goods and services sectors as follows:

Sectors	Before the Update	After the Update	The Increase
Security Services	%70	%82	%12
Utilities Services	Newly introduced sector	%61	-
Chemicals & Oil and Gas	%50	%61	%11
Manpower Supply Services	%45	%59	%14
Real Estate Services	%40	%48	%8
Mining Products	%34	%45	%11
Transport and Logistics Services	%40	%45	%5
IT & Telecom Services	%30	%41	%11
Construction Services	%35	%40	%5
Healthcare Services	%29	%38	%9
Industrial Services	%30	%36	%6
Cars, Trucks and Equipment Rental Services	%25	%35	%10
Other Services	%20	%35	%15
Other Manufacturing	%22	%30	%8
Chemical Blending	%10	%29	%19
Machinery and Equipment	%20	%25	%5

Important Considerations:

- In the disclosure of capital expenditures, it does not include the land, assets transferred from other parties, and materials to be resold (inventory).
- Capital expenditures are included in the template in a separate section and are not considered in the calculation of the Local Content Score; they are for disclosure purposes only.

